Parliamentary elections were held in February 1960 to return Burma to civilian rule. U Nu ran as head of the clean AFPFL, which focused his campaign on promoting Buddhism as the state religion and the possibility of increased federalism, which would benefit the ethnic minority populations. Nearly 60 percent of the population voted, making it the most successful elections in Burmese history. U Nu's had an overwhelming victory and his two main rivals Ba Swe and Kyaw Nyein both lost their seats. U Nu renamed his party the Pyidaungsu Party (Union Party). Borrowing from some of the popular themes of General Ne Win, U Nu implemented further governmental reform at the local level and a promise was made that the new Burmese democracy would be grassroots in nature.

U Nu's policies were met with opposition and ultimately factionalization reemerged. The Pyidaungsu movement was dysfunctional and Burma seemed on the verge of chaos. Economic problems were returning and U Nu announced the nationalization of foreign trade on March 1, 1962. This alienated the business community, as the legitimacy of the regime was in question. The issue that truly ended Burmese democracy was the federalism dilemma. U Nu was in discussions to grant greater autonomy to the Shan leaders. The idea of rewriting the constitution to create a true federalist system was in the works. National unity seemed to be dissolving, leading to Ne Win and the military to take action that would forever change the history of Burma.